

## 4.1.1 Economic methodology and the economic problem

### 4.1.1.1 Economic methodology

| Content                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Additional information                                                                                     |
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| <ul style="list-style-type: none"><li>• Economics as a social science.</li><li>• Similarities to and differences in methodology from natural and other sciences.</li><li>• The difference between positive and normative statements.</li><li>• How value judgements influence economic decision making and policy.</li><li>• People's views concerning the best option are influenced by the positive consequences of different decisions and by moral and political judgements.</li></ul> | Students should understand how thinking as an economist may differ from other forms of scientific enquiry. |

### 4.1.1.2 The nature and purpose of economic activity

| Content                                                                                                                                                                                                                                                                                              | Additional information |
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| <ul style="list-style-type: none"><li>• The central purpose of economic activity is the production of goods and services to satisfy needs and wants.</li><li>• The key economic decisions are: what to produce, how to produce and who is to benefit from the goods and services produced.</li></ul> |                        |

### 4.1.1.3 Economic resources

| Content                                                                                                                                                                                                                                | Additional information |
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| <ul style="list-style-type: none"><li>• The economists' classification of economic resources into land, labour, capital and enterprise, which are the factors of production.</li><li>• The environment is a scarce resource.</li></ul> |                        |

#### 4.1.1.4 Scarcity, choice and the allocation of resources

| Content                                                                                                                                                                                                                                                                                                                           | Additional information |
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| <ul style="list-style-type: none"><li>• The fundamental economic problem is scarcity and that it results from limited resources and unlimited wants.</li><li>• Scarcity means that choices have to be made about how scarce resources are allocated between different uses.</li><li>• Choices have an opportunity cost.</li></ul> |                        |

#### 4.1.1.5 Production possibility diagrams

| Content                                                                                                                                                                                                                                                                                                                                                                                                     | Additional information                                                                       |
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| <ul style="list-style-type: none"><li>• Production possibility diagrams illustrate different features of the fundamental economic problem, such as: resource allocation, opportunity cost and trade-offs, unemployment of economic resources, economic growth.</li><li>• Why all points on the boundary are productively efficient but not all points on the boundary are allocatively efficient.</li></ul> | Students should be able to use production possibility diagrams to illustrate these features. |